

PRESS · 1 MAR 1996

Franchise Magazine

TYPE

DATE

Press article

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SUMMARY SHEET

Press article "That's how it works..." — Franchise Magazine · March 1996

Overview: press article by Philippe Malterre, published in Franchise Magazine (March 1996), on McDonald's development in France and its franchise model.

Key points

The article presents McDonald's as a chain whose development forecasts fall short of its actual results. It states, for the past financial year:

- 78 new restaurants opened in France, 32 of them franchised, and 3,900 jobs created;
- 431 outlets in total, some of them subsidiaries, and 202 franchisees;
- network turnover of 6.7 billion francs in 1995, up around 17%;
- an average floor area of around 350 m² per outlet and average turnover in the order of 14 MF per unit.

It highlights the stability of prices for three years despite the VAT increase, the expansion of the menu, the growing number of partnerships and the ambition to set up in medium-sized towns and town centres. It announces that Denis Hennequin is taking over the chairmanship of the fast-food restaurant trade association (SNARR) and reports, despite a franchise agreement described as "draconian", with a term of twenty years in which the franchisee owns neither the premises nor the business, a strong influx of candidates.

Significance

Background: this press document, contemporaneous with the dispute, sheds light on the business model and the contractual terms of the McDonald's franchise that Bernard Collorafi challenges in his case.

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Source: bernardcollorafi.org/en/documents/franchise-magazine-mcdonalds-20-year-agreement-1996/ — Documentary case file of the lawsuit Bernard Collorafi v. McDonald's France (Antibes, 1987–2002). The original scan is authoritative.